

FEDERAL MARITIME COMMISSION

DOCKET NO. 21-09

**HAPAG-LLOYD, A.G. and HAPAG-LLOYD (AMERICA) LLC. —POSSIBLE
VIOLATIONS OF 46 U.S.C. § 41102(c)**

**JOINT MEMORANDUM IN SUPPORT OF
PROPOSED SETTLEMENT**

The Bureau of Enforcement (BOE) and Respondent Hapag-Lloyd AG (Hapag-Lloyd or Respondent) submit this joint memorandum in support of the proposed settlement agreement attached. *See* Settlement Agreement, FMC Docket No. 21-09. BOE and Respondent (the Parties) believe that the Settlement Agreement meets the criteria set by the Federal Maritime Commission (FMC or Commission) for the approval of agreements resolving administrative enforcement claims and, therefore, should be approved.

I. INTRODUCTION

This proceeding was commenced by the Commission on November 10, 2021 through its issuance of an Order of Investigation and Hearing (Order) pursuant to 46 U.S.C. §§ 41102(c), 41302(a), and 46 C.F.R. § 502.63. Order at 5. The Commission ordered this proceeding to determine whether Respondent violated Section 41102(c) of the Shipping Act of 1984, by failing to establish, observe, and enforce just and reasonable regulations and practices relating to its assessment of detention charges on containers when return locations with corresponding appointments were unavailable. *Id.* at 6–7. The Commission further ordered that if violations of the Shipping Act were to be found, then this proceeding would determine whether civil penalties, and what amount, should be assessed against Respondent as well as whether a “cease-and-desist

order should be issued” *Id.* at 7.

The Order designated BOE as a party to the proceeding and following commencement, the Parties engaged in discovery and briefing as well as concurrent and frequent settlement discussions. After the Administrative Law Judge (ALJ) published the Initial Decision on April 22, 2022, Respondent filed its Petition of Respondent Hapag-Lloyd AG for an Extension of Time to File Exceptions to Initial Decision (Petition to Extend Time) on May 9, 2022. BOE did not oppose Respondent’s Petition to Extend Time. Petition to Extend Time at 4. The Commission granted Respondent’s Petition to Extend Time in part on May 11, 2022 and the time to file exceptions was extended to June 6, 2022.

The Settlement Agreement accompanying this memorandum is the result of good faith negotiations between the Parties. Absent approval of settlement, various procedural steps enumerated in 46 C.F.R. § 502.207 remain in this proceeding. Respondent cited five legal issues, six errors with respect to material facts, and two instances of material errors in its Petition to Extend Time. *Id.* at 2–3. BOE also found errors with respect to material facts, as well as the calculations and amount of civil penalties, in the ALJ’s Initial Decision. Thus, the Parties have numerous outstanding controversies that would only be resolved by filing Exceptions to the ALJ’s Initial Decision, additional briefings, and additional reply briefings.

The Settlement Agreement addresses the practices implicated by the alleged violations which formed the basis of the Commission’s investigation and reflects what the Parties believe to be an appropriate resolution of the matter. The Settlement Agreement includes Respondent’s consent to cease collection of the disputed charges on containers identified in the Order, and to address the alleged violative behavior. Namely, Respondent commits to establishing a just and reasonable policy and practice regarding detention disputes, agree to publish that policy—including instructions for disputing charges and documentation standards—on their website, and

train staff regarding the FMC's Interpretive Rule, 46 C.F.R. § 545.5; 85 FR 29638 (Interpretive Rule).

The Settlement Agreement also includes payment of a significant sum that the BOE has determined will serve as deterrence for future violative behavior. The Parties believe that it is in the best interest of the shipping public to resolve this proceeding at this stage rather than engage in further litigation, including a potential federal appeal. Upon approval of the Settlement Agreement by the Commission, Respondent and BOE seek dismissal of FMC Docket 21-09.

II. FMC PREFERENCE FOR SETTLEMENT OVER LITIGATION

As a policy matter, later codified into the Administrative Procedure Act (APA) and the Commission's own regulations, informal settlement agreements are preferable to costly litigation. Settlements allow parties to conserve judicial resources and eliminate the need for "costly and lengthy formal hearings." *See Pennsylvania Gas and Water v. Federal Power Commission*, 463 F.2d 1242, 1247 (D.C. Cir. 1972); *see also* 5 U.S.C. § 554(c)(1); 46 C.F.R. § 502.75(b). The APA requires agencies to give interested parties an opportunity, *inter alia*, to submit offers of settlement "when time, the nature of the proceeding, and the public interest permit." 5 U.S.C. § 554(c)(1); *see also* 46 C.F.R. § 502.75(b). The Commission's Rules of Practice and Procedure (FMC Rules) encourages parties to utilize informal settlement procedures to "simplify or avoid formal litigation." 46 C.F.R. § 502.75(a).

The Commission itself has a "strong and consistent policy of 'encouraging settlements and engaging in every presumption which favors a finding that they are fair, correct, and valid.'" *See Greatway Logistics Group, LLC v. Ocean Network Express Pte. Ltd.*, FMC Docket No. 21-04, 2021 FMC Lexis 190 (citing *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ 2002)). It is the duty of the Commission to "encourage rather than discourage parties in resorting to compromise as a mode of adjusting conflicting claims" if such contracts are fair and to

the public's benefit. *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1092 (ALJ 1978) (quoting 15A AM. JUR. 2D Compromise and Settlement § 3 (1976)). If proposed settlements do “not appear to violate any law or policy and [are] free of fraud, duress, undue influence, mistake or other defects . . . the settlement will probably pass muster and receive approval” from the Commission. *Old Ben Coal*, 18 S.R.R. at 1093; see also *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988) (“[I]f it is the considered judgment of the parties that whatever benefits might result from vindication of their positions would be outweighed by the costs of continued litigation and *if the settlement otherwise complies with law the Commission authorizes the settlement.*”) (citations omitted) (emphasis added). Thus, it is the Commission's custom to approve reasonable, fair, and valid settlements that are in the shipping public's interests and conserve judicial resources.

The Parties have actively and continuously discussed settlement options since the proceeding commenced. The Settlement Agreement is the result of many discussions between BOE and Hapag-Lloyd where the Parties were able to come to a reasonable, fair, and valid agreement. No party was put under duress or undue influence to enter into agreement, and the Settlement Agreement is void of fraud or mistake.

III. APPROVAL OF SETTLEMENT

In a proceeding such as the present, the proposed settlement is reviewed to determine if it satisfies the appropriate criteria for approval to discharge the duty of civil penalties imposed by 46 C.F.R. § 502.603(a).¹ The settlement agreement is reviewed “to ensure that it does not contravene law or public policy.” *World Chance Logistics (Hong Kong), Ltd. and Yu, Chi Shing (a.k.a. Johnny Yu) – Possible Violations of Section 10 of the Shipping Act of 1984 (World Chance)*, 31

¹ This review is conducted by the Administrative Law Judge when the case is before the ALJ or by the Commission when, as here, the case is before the Commission.

S.R.R. 1346, 1350 (FMC 2010) (citations omitted). The review typically consists of the evaluation of several different “factors to determine that the settlement agreement was not a product of fraud, duress, undue influence, or mistake.” *Id.* The terms of a settlement agreement are also reviewed, “to ensure that the terms are fair, reasonable, and adequate.” *Id.* The review also balances the “likelihood of success on the merits against the cost and complexity of proceeding to final judgment.” *Id.*

The review also considers whether the proposed settlement agreement satisfies the appropriate criteria for approval with regard to the issue of penalty assessment. The appropriate criteria for approving proposed settlements where a penalty assessment is present are as follows:

[S]ettlement may be based upon a determination that the agency's ‘enforcement policy in terms of deterrence and securing compliance, both present and future, will be adequately served by acceptance of the sum to be agreed upon’; that ‘the amount accepted in compromise. . .may reflect an appropriate discount for the administrative and litigative costs of collection having regard for the time it will take to effect collection’; the value of settling claims on the basis of pragmatic litigative probabilities, i.e., the ability to prove a case for the full amount claimed either because of legal issues involved or a bona fide dispute as to facts; and that penalties may be settled ‘for one or for more than one of the reasons authorized in this part.’

Far Eastern Shipping Co. - Possible Violations of Sections 16, Second Paragraph, 18(b)(3) and 18(c), Shipping Act, 1916, (FESCO), 21 S.R.R. 743, 759 (Initial Decision; administratively final, May 7, 1982). Subsequent to *FESCO*, the Commission reaffirmed that potential costs and uncertainties of success are valid factors to be considered both in the negotiation of a settlement, and in view of a settlement agreement. *Investigation of Unfiled Agreements - Yangming Marine Transport, Evergreen Marine Corporation and Orient Overseas Container Line, Inc., (Yangming)* 24 S.R.R. 910 (Order Adopting Initial Decision, Mar. 30, 1988).

In accordance with the Commission’s previous analysis, proposed settlements are to be evaluated on the basis of balancing agency enforcement policy, deterrence by respondents, the industry, and the shipping public with the litigative probabilities, litigative and administrative

costs, and such other matters as justice may require. That balance favors approval of this proposed settlement.

With respect to the policy of enforcement, the Bureau of Enforcement stresses the importance of ensuring compliance with the Shipping Act of 1984. Respondent supports the Commission's objectives, acknowledge BOE's allegations against them, and have agreed to adjust their customary practices and behavior to comply with the Shipping Act and the Interpretive Rule more clearly. Interpretive Rule, 85 FR 29638.

In addition, Respondent has agreed to pay a significant sum which, when coupled with Respondent's compliance to the Interpretive Rule, will have a deterrent effect upon this Respondent, and on the industry as a whole. The Settlement Agreement, unlike the Initial Decision, has articulated practices for Respondent to follow that conform with the Interpretive Rule. The Settlement Agreement's guidance in this sphere will benefit the shipping public in its clarity. The settlement amount and the agreed practices in the Settlement Agreement "will have the desired effect on Respondent and others because it would serve as a disincentive to future unlawful activity." *World Chance*, 31 S.R.R. at 1352, (quoting *FESCO*, 21 S.R.R. at 759) (internal quotations omitted).

As stated in the Introduction, the briefing and submission of the Parties' respective exceptions to the Initial Decision remain, as well as the corresponding replies. The potential litigative and administrative costs of this proceeding (including a potential federal appeal) thus weigh heavily in favor of approval of this proposed settlement agreement. Additionally, the Settlement Agreement avoids the uncertainties involved in any litigation and brings this matter to a conclusion while allowing for the most just, speedy, and expensive determination. See 46 C.F.R. § 502.1.

Accordingly, the Parties submit that the proposed settlement agreement will further the

Commission's enforcement policy, benefit the shipping public, and allow the Parties to best observe the tenants of Rule 1 of the Commission's Rules of Practice and Procedure.

IV. CONCLUSION

The Settlement Agreement comprehensively addresses the issues relating to the above-referenced proceeding and meets the Commission's well-established criteria for approval of agreements settling administrative enforcement claims and, therefore, should be approved and certified to the Commission. Upon approval of the Settlement Agreement, FMC Docket No. 21-09 should be discontinued in its entirety.

DATED: May 18, 2022

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that on this 18th day of May 2022, a copy of the foregoing Memorandum has been served upon all counsel of record in accordance with 46 C.F.R. Part 502.

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